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US Economic Update: August 3, 2026

Current state of the real economy	
Current state of financial markets	
Current state of inflation	

Atlanta Fed GDP growth forecasts for Q3 2026 (%)	30-Jul-26
	5.0

FOMC keeps rates on hold amid elevated inflation risks

- The Federal Open Market Committee (FOMC) held the federal funds rate steady at 3.5%–3.75% for the fifth consecutive meeting in July. The decision was not unanimous. Three members—Beth M. Hammack, Neel Kashkari, and Lorie K. Logan—dissented in favor of a 25-basis point rate hike, citing persistent inflation risks. The committee acknowledged that economic activity continues to expand at a solid pace, productivity growth and capital investment are strong, and the labor market remains broadly balanced. It also noted that inflation remains above its 2% target, reflecting higher energy prices and other supply-side pressures.
- The personal consumption expenditure (PCE) price index (the Fed's preferred price gauge) fell 0.1% in June from the previous month. The decline was largely driven by a 5.9% drop in energy goods and services prices, reflecting easing oil prices following hopes of de-escalation in the Iran conflict. Goods prices fell 0.6%, while services prices rose 0.1% during the month. Compared to a year ago, PCE prices grew by 3.7% in June (also called inflation), down from a 4.1% increase in May. Core PCE inflation, which excludes food and energy prices, was 3.3% in June.
- Real GDP grew at a seasonally adjusted annual rate of 1.5% in Q2 2026, slowing from a 2.1% increase in the previous quarter. AI-related investment remained a key driver of business spending, with investment in information processing equipment rising 8.3% and software investment also rising sharply during the quarter. Real consumer spending rebounded in Q2, rising by 3.2%, after just 0.5% growth in the previous quarter. However, net exports weighed on overall GDP growth, as an 11.5% surge in imports more than offset a 4.5% increase in exports of goods and services.
- Real disposable personal income rose by 0.3% in June, slightly up from a 0.2% increase in May. The increase reflected higher compensation, personal income receipts on assets, and government social benefits. Real consumer spending rose 0.4% in June, outpacing income growth and suggesting that households continued to draw on their savings to support consumption. The personal saving rate fell to 2.7% in June, its lowest level in four years.
- The Conference Board's consumer confidence index fell to 90.8 in July from 92.2 in June, reflecting weaker assessments of current business and labor market conditions. In contrast, the University of Michigan's consumer sentiment index rose to 55.2 in July from 49.5 in the previous month. One-year inflation expectations also eased to 4.2% in July from 4.6% in June.

Figure 1. Headline PCE inflation slowed to 3.7% in June from 4.1% in May, while core PCE inflation eased to 3.3% during this period

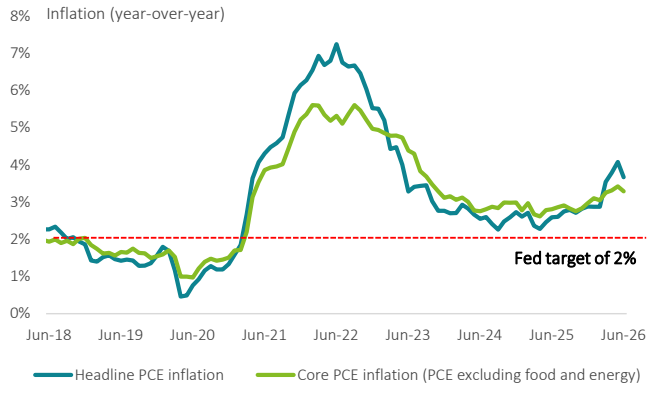
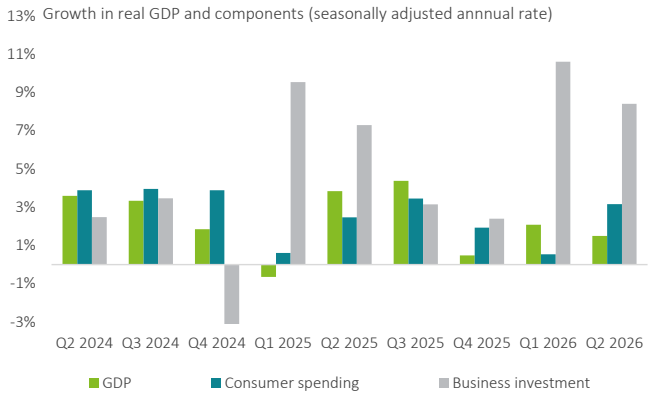


Figure 2. The US economy grew by 1.5% in Q2 2026, aided by a surge in consumer spending and AI-related business investment



Sources: Haver Analytics; Deloitte analysis.

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Dashboard of key indicators

Real economy

Total nonfarm payrolls

Jun change	3-month avg ch	12-month avg ch	Trend
57,000	111,000	42,000	

Unemployment rate

Jun value (%)	1-month ch (ppts)	3-month ch (ppts)	Trend
4.2	-0.1	-0.1	

Real disposable personal income

Jun growth (%, MoM, SA)	3-month ch (%)	12-month ch (%)	Trend
0.3	0.1	0.5	

Real personal consumer expenditure

Jun growth (%, MoM, SA)	3-month ch (%)	12-month ch (%)	Trend
0.4	0.9	2.5	

Nominal retail sales

Jun growth (%, MoM, SA)	3-month ch (%)	12-month ch (%)	Trend
0.2	1.9	6.7	

Conference Board consumer confidence index

Jul value	1-month ch	3-month ch	Trend
90.8	-1.4	-3.0	

Housing permits

Jun growth (%, MoM, SA)	3-month ch (%)	12-month ch (%)	Trend
-2.6	0.8	-1.8	

Manufacturing industrial production

Jun growth (%, MoM, SA)	3-month ch (%)	12-month ch (%)	Trend
-0.1	0.8	1.1	

Shipments of core capital goods

Jun growth (%, MoM, SA)	3-month ch (%)	12-month ch (%)	Trend
1.9	2.7	9.3	

Trade balance

May value (US$ billion)	1-month ch	3-month ch	Trend
-77.6	-23.0	-22.6	

Real GDP

Q2 2026 (%, QoQ, SAAR)	Q1 2026	1-year ch (%)	Trend
1.5	2.1	2.1	

Corporate profits

Q1 2026 (%, QoQ, SAAR)	Q4 2025	1-year ch (%)	Trend
7.0	26.3	12.8	

Financial markets

Equity markets

S&P 500 on Jul 31	1-week ch (%)	1-year ch (%)	Trend
7489.7	1.0	20.1	

Treasury yield spread (10 yr - 2 yr)

Spread on Jul 31	1-month ch(ppts)	3-month ch(ppts)	Trend
0.47	0.17	-0.1	

CBOE volatility index (VIX)

VIX on Jul 31	1-week ch	4-week ch	Trend
16.0	-2.6	-0.2	

Kansas City Fed financial stress index (KCFSI)

Jun index	1-month ch	3-month ch	Trend
-0.8	0.1	-0.2	

Inflation

Consumer price index (CPI)

Jun change (%, MoM, SA)	3-month ch (%)	12-month ch (%)	Trend
-0.4	0.7	3.5	

Core CPI (CPI excluding food and energy)

Jun change (%, MoM, SA)	3-month ch (%)	12-month ch (%)	Trend
0.0	0.6	2.6	

Core PCE (PCE price index excluding food and energy)

Jun change (%, MoM, SA)	3-month ch (%)	12-month ch (%)	Trend
0.1	0.7	3.3	

Philadelphia Fed 10-year ahead inflation expectations

Q2 2026 (%, YoY)	Q1 2026	Q2 2025	Trend
2.4	2.3	2.4	

Sources: Haver Analytics; Deloitte analysis.